
RESEARCH PAPER

Society Under Monetary Stress IV: More Work to Stand Still?

Real Earnings, Underemployment, and Household Labor-Market Fragility

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Abstract

This paper examines whether U.S. households increasingly need more labor effort or less secure work arrangements to maintain living standards. Using public FRED/BLS data from 1994 through 2024, it compares real earnings, weekly hours, multiple jobholding, involuntary part-time work, U-6 labor underutilization, prime-age work attachment, labor share, and a transparent essential-cost pressure benchmark. The evidence does not support a simple national claim that workers broadly had to work more every year to stand still. Real earnings improved, prime-age employment recovered, and the essential-cost-to-weekly-earnings benchmark was slightly below its 1994 base by 2024. The stronger descriptive finding is about margins: underemployment rises sharply in stress regimes, multiple jobholding is too ambiguous to carry the hardship narrative alone, and labor share declined over the sample. The paper is therefore best read as a disciplined labor-fragility map rather than a causal test of monetary policy or household labor supply.

JEL codes: E24, E31, J21, J22, J31 **Keywords:** real wages, underemployment, multiple jobholding, labor share, household resilience, cost pressure

1. Introduction

A household can be employed and still feel fragile. Employment is not the same thing as resilience. A worker may have a job, rising nominal pay, and stable hours while still facing higher fixed costs, thinner buffers, more expensive housing access, or a weaker claim on the gains from production. The labor market can look healthy in headline terms while some households feel that they are running harder to maintain the same position.

This paper studies that tension using public U.S. labor-market data. The motivating question is narrow: do aggregate labor indicators support the claim that households increasingly need more work effort, multiple jobs, or less secure work arrangements to maintain living standards?

The answer is mixed. Real earnings improved from 1994 to 2024. Real median usual weekly earnings rose from an index value of 100 to 117. A real weekly earnings proxy built from average hourly earnings and average weekly hours rose from 100 to 123. An essential-cost stack divided by the weekly earnings proxy was 98 in 2024, slightly below its 1994 base. Prime-age employment-population ratios were also higher in 2024 than in 1994.

Those facts discipline the argument. A simple national story that the average worker had to work more every year merely to stand still is not supported by these endpoint measures.

But the endpoint is not the whole story. Labor fragility appears in margins and regimes. Involuntary part-time work and U-6 labor underutilization rise sharply when the economy weakens. Multiple jobholding is not a monotonic upward trend, but it remains a useful signal when

read by subgroup and motive rather than as a national hardship proxy. Labor share fell from 100 in 1994 to 90 in 2024, suggesting that labor's claim on production weakened even while real earnings improved.

The contribution is descriptive. The paper does not identify a monetary-policy shock, estimate a causal effect, or model household labor supply. It instead builds a transparent public-data dashboard for evaluating a popular claim: that households increasingly need more labor effort to stand still. The main conclusion is not that the claim is false everywhere. It is that the aggregate version is too blunt. The more credible claim is distributional and margin-based.

2. Conceptual framing and related research

Household labor-market fragility has several channels. The first is earnings adequacy: whether hourly and weekly earnings rise faster than the relevant household cost stack. The second is work intensity: whether households add hours, jobs, or earners to preserve living standards. The third is labor-market slack: whether workers who want full-time work are stuck with part-time hours. The fourth is distributional claim: whether labor income maintains its share of output relative to capital and other claims.

Existing labor research speaks to these channels from different angles. Wage-inequality research emphasizes skill premia, education, institutions, and distributional changes in earnings. Labor-supply research studies hours, participation, secondary earners, and family constraints. Alternative-work and gig-economy research shows that multiple work arrangements can reflect opportunity, necessity, or misclassification. Underemployment and slack research treats involuntary part-time work and broader labor-underutilization measures as important complements to unemployment. Labor-share research studies the changing division of output between labor and capital, including roles for globalization, capital intensity, markups, depreciation, sector composition, and measurement.

This paper is more modest than those literatures. It does not add a new microdata design. It does not separate voluntary from involuntary second jobs. It does not decompose labor share. Its purpose is to clarify what the aggregate public data can and cannot support before making stronger household-level claims.

That discipline matters. Multiple jobholding sounds like a natural measure of distress, but it mixes necessity, seasonal work, professional moonlighting, entrepreneurship, and preference. Involuntary part-time work is a cleaner hardship signal, but it is cyclical. Real earnings growth is good news, but it may not capture local housing, childcare, medical exposure, debt service, or household composition. Labor share adds distributional context, but it is not a household welfare measure.

The paper therefore treats each indicator as partial. The right question is not whether one series proves labor fragility. It is whether the dashboard shows conditions under which employment headlines can coexist with household strain.

3. Data and measures

The sample covers 1994 through 2024. The start year is set by the beginning of the FRED multiple-jobholding rate series. All series are public FRED/BLS data, averaged within calendar year when monthly or quarterly. Indexes are normalized to 1994 = 100 where applicable.

Core earnings and hours measures are real median usual weekly earnings for full-time wage and salary workers, average hourly earnings for production and nonsupervisory workers, and average weekly hours for production and nonsupervisory workers. The weekly earnings proxy is average hourly earnings multiplied by average weekly hours. The real weekly earnings proxy divides that value by headline CPI.

Work-intensity and slack measures include multiple jobholders as a percent of employed, part-time employment for economic reasons, U-6 labor underutilization, prime-age labor force participation, and the prime-age employment-population ratio. Following an external review concern that counts are not comparable across decades, the revised underemployment measure reports part-time for economic reasons as a share of civilian employment. Counts are retained in the underlying panel but are not the primary exhibit.

The paper also uses an essential-cost pressure benchmark. The benchmark is an equal-weight index of four CPI categories: food, energy, shelter, and medical care. It is divided by the weekly earnings proxy. Equal weighting is intentionally transparent but not household-specific. It does not reflect Consumer Expenditure Survey weights, renter/homeowner differences, household age, family structure, region, insurance status, childcare, transportation, taxes, debt service, or out-of-pocket medical spending. For that reason, the measure is used only as a broad benchmark.

Labor share is measured with the nonfarm business sector labor-share index and rebased to 1994 = 100. It is included as distributional context, not as a direct measure of household welfare.

4. Results

4.1 Real earnings improved, so the simple squeeze story is too strong

The first result is deliberately inconvenient for an overheated thesis. Real earnings improved over the sample. Real median usual weekly earnings rose from 100 in 1994 to 117 in 2024. The real weekly earnings proxy rose from 100 to 123.

The essential-cost stack divided by weekly earnings was 98 in 2024, slightly below the 1994 base. It was higher in 2007, at 107, and still above base in 2019, at 103. This suggests that labor pressure is better read as episodic and household-specific rather than as a one-way national trend.

The conclusion is not that workers are comfortable. It is that the public evidence requires precision. A household can face pressure even when aggregate real earnings rise, but the mechanism has to be stated carefully. The pressure may come from local housing costs, childcare, medical exposure, debt service, insurance, unstable hours, or inability to access assets rather than from a simple failure of earnings to keep up with an equal-weight national essential-cost stack.



Figure 1. Real earnings improved; essential pressure did not disappear

Table 1. Labor-fragility milestones

Selected years are the sample start, late-1990s expansion peak, pre-GFC expansion peak, pre-pandemic expansion peak, and latest full calendar year.

Year	Real median weekly earnings	Real weekly earnings proxy	Essential stack / weekly earnings	Multiple jobholders	Involuntary part-time / employed	U-6	Prime-age LFPR	Prime-age EPOP	Labor share
1994	100	100	100	5.9%	3.8%	10.8%	83.4%	79.2%	100
2000	106	106	98	5.5%	2.4%	7.0%	84.0%	81.5%	104
2007	106	108	107	5.2%	3.0%	8.3%	83.0%	79.9%	97
2019	114	117	103	5.1%	2.8%	7.2%	82.5%	80.0%	93
2024	117	123	98	5.2%	2.8%	7.5%	83.6%	80.7%	90

Source: FRED/BLS public series and essential-cost benchmark. Indexes set 1994 = 100 where applicable. Involuntary part-time is part-time for economic reasons divided by civilian employment.

4.2 Multiple jobholding does not support a national monotonic hardship story

Multiple jobholding is emotionally legible: it sounds like households are forced to add work to survive. But the aggregate series does not show a simple upward trend. Multiple jobholders were 5.9 percent of employed workers in 1994, 5.5 percent in 2000, 5.2 percent in 2007, 5.1 percent in 2019, and 5.2 percent in 2024.

This negative result is important. The aggregate multiple-jobholding rate should not be used as if it proves that households broadly took second jobs at rising rates. The measure is too ambiguous. Some second jobs are hardship responses; others are seasonal, entrepreneurial, professional, preference-driven, or temporary.

The useful public-data claim is narrower: multiple jobholding should be treated as a subgroup question. Future work should ask which workers hold multiple jobs, whether those jobs are paired with low earnings or high local cost pressure, and whether patterns differ by renters, parents, young workers, single earners, lower-wage workers, education, sex, race, and metro cost conditions.

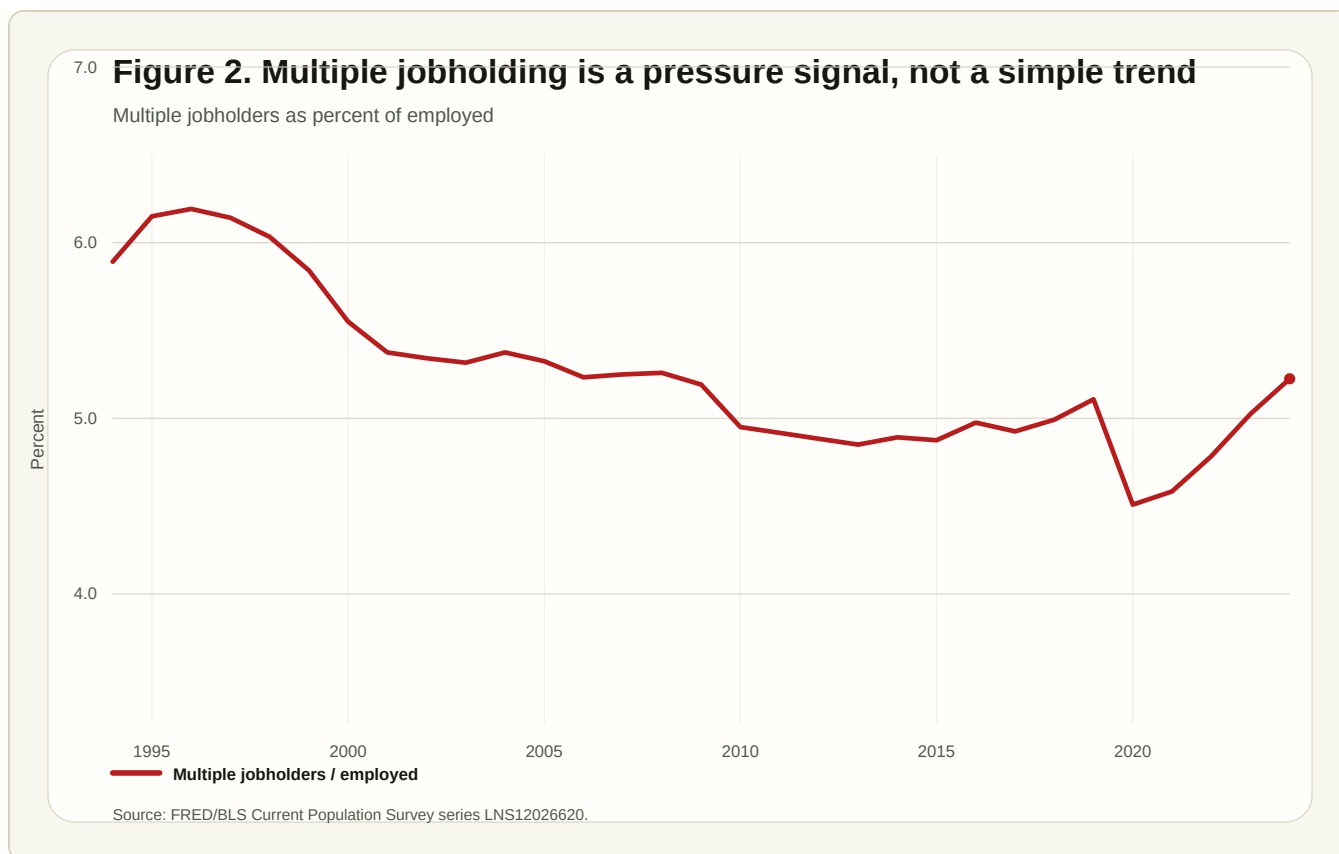


Figure 2. Multiple jobholding is not a simple upward trend

4.3 Underemployment is the clearer fragility margin

Part-time work for economic reasons is a clearer hardship indicator than multiple jobholding because it identifies workers who want full-time work but are working part time because of slack work, business conditions, or inability to find full-time employment. The revised measure reports this as a share of civilian employment, not only as a count.

Involuntary part-time work was 3.8 percent of employment in 1994, 2.4 percent in 2000, 3.0 percent in 2007, 2.8 percent in 2019, and 2.8 percent in 2024. U-6 labor underutilization was 10.8 percent in 1994, 7.0 percent in 2000, 8.3 percent in 2007, 7.2 percent in 2019, and 7.5 percent in 2024.

The point is not that 2024 was worse than 1994. It was not on these measures. The point is cyclicity and vulnerability. Underemployment rises quickly in stress regimes. A household that looks stable at full employment can become fragile if hours are cut, full-time work disappears, or income becomes unstable. The same labor shock is more damaging when fixed costs already absorb most of the household margin.

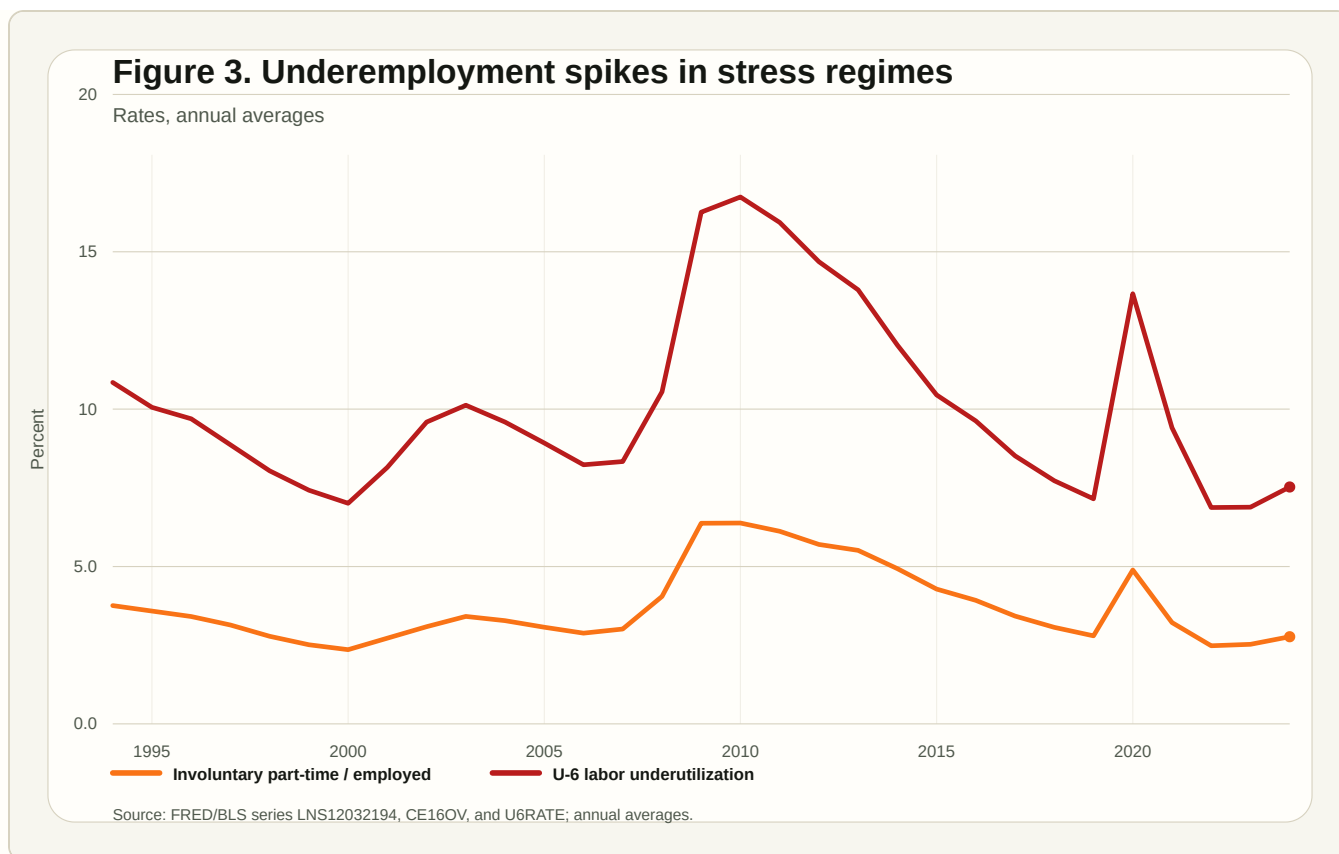


Figure 3. Underemployment spikes in stress regimes

4.4 Prime-age work attachment recovered

Prime-age labor force participation and the prime-age employment-population ratio reduce some retirement and schooling composition effects. The prime-age participation rate was 83.4 percent in 1994, 84.0 percent in 2000, 83.0 percent in 2007, 82.5 percent in 2019, and 83.6 percent in 2024. The prime-age employment-population ratio rose from 79.2 percent in 1994 to 80.7 percent in 2024.

This is another moderating result. The labor market did not simply decay across the sample. Prime-age attachment in 2024 was strong by recent historical standards. A credible paper has to acknowledge that.

But strong attachment does not eliminate household fragility. High participation can reflect opportunity, necessity, or both. A two-earner household may be more resilient than a one-earner household, but it may also have less unused labor-supply margin left when costs rise. A household already running at high work intensity has fewer easy adjustments if childcare, medical bills, rent, insurance, transportation, or debt costs increase.

Figure 4. Prime-age attachment recovered, but the margin matters

Prime-age participation and employment-population ratios



Figure 4. Prime-age attachment recovered, but the margin matters

4.5 Labor share is background context, not household proof

The labor-share index fell from 100 in 1994 to 90 in 2024. This suggests that labor's claim on nonfarm business output weakened over the sample.

The interpretation should be limited. Labor share is affected by depreciation, capital intensity, globalization, markups, sectoral composition, business cycles, measurement of proprietors' income, and intellectual property. It does not mechanically translate into household welfare. Workers may also hold capital income through retirement accounts, home equity, business ownership, or pensions, although ownership is uneven.

Still, labor share helps explain why real earnings gains may not fully settle the household-resilience question. If labor's aggregate claim drifts lower while asset ownership is uneven and fixed costs remain important, employment alone may not produce a broad feeling of durable progress.

Figure 5. Labor share drifted lower over the sample

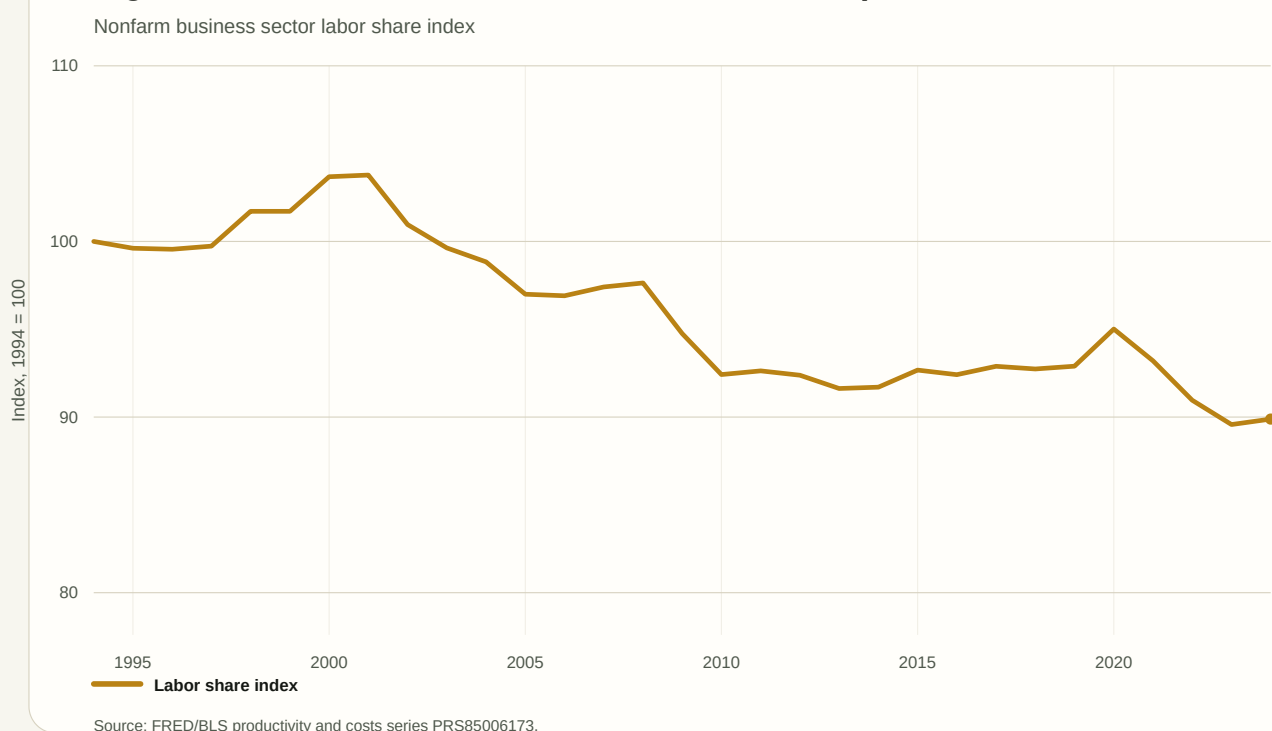


Figure 5. Labor share drifted lower over the sample

5. What the aggregate data can and cannot say

The aggregate data reject the bluntest version of the “more work to stand still” story. Real earnings improved, multiple jobholding did not trend upward, involuntary part-time work as a share of employment was lower in 2024 than in 1994, and prime-age work attachment recovered.

But the data do not reject household labor fragility. They show why the question needs a distributional design. Households differ by local rent, mortgage exposure, childcare, medical costs, transportation, insurance, debt, family structure, age, education, and whether a second earner or second job is actually available. National averages cannot show whether renters in high-cost metros, single parents, young workers, lower-wage households, or households facing high medical exposure are adding work intensity to stay solvent.

The right next version would use CPS microdata, ACS local-cost and household-composition measures, Consumer Expenditure Survey weights, and household financial-fragility data. Outcomes would include usual hours, multiple jobholding, involuntary part-time work, second-earner entry, labor-force participation, household earnings, and transitions into or out of full-time work. Cost pressure should be measured by household type and geography rather than by a single equal-weight national benchmark.

That stronger design is outside this public-data note. The present contribution is smaller: it clarifies which popular claims are supported by aggregate data and which require microdata before they should be asserted.

6. Conclusion

The labor side of household stress is more nuanced than the phrase “more work to stand still” implies. From 1994 through 2024, real earnings improved, prime-age work attachment recovered, and the essential-cost stack divided by a weekly earnings proxy was slightly below its 1994 base by 2024. Multiple jobholding did not rise monotonically. Involuntary part-time work and U-6 were lower in 2024 than in 1994, though both remain highly sensitive to stress regimes.

The more defensible finding is about margins. Underemployment spikes when the economy weakens. Multiple jobholding requires subgroup and motive analysis. Labor share drifted lower. Households facing high fixed costs may remain fragile even when employment conditions look strong.

For public interpretation, the key lesson is restraint. Employment headlines matter, but they are not enough. A serious household-resilience analysis must ask whether labor income is producing durable buffers or merely offsetting fixed costs, and it must answer that question with household-level evidence.

Replication note

The panel uses FRED public graph CSV endpoints for headline CPI (CPIAUCSL), average hourly earnings (AHETPI), real median usual weekly earnings (LES1252881600Q), average weekly hours (AWHNONAG), multiple jobholders as percent of employed (LNS12026620), part-time for economic reasons (LNS12032194), prime-age labor force participation (LNS11300060), prime-age employment-population ratio (LNS12300060), civilian labor force participation (CIVPART), employment-population ratio (EMRATIO), unemployment (UNRATE), U-6 labor underutilization (U6RATE), civilian employment (CE160V), civilian labor force (CLF160V), and nonfarm business sector labor share (PRS85006173). Monthly and quarterly series are averaged within calendar year. The sample begins in 1994 because the multiple-jobholding rate starts then. The weekly earnings proxy equals average hourly earnings times average weekly hours. The real weekly earnings proxy divides that value by headline CPI. The essential-cost benchmark is an equal-weight average of food CPI, energy CPI, shelter CPI, and medical-care CPI, then divided by the weekly earnings proxy. Involuntary part-time work is reported as part-time for economic reasons divided by civilian employment. Indexes are normalized to 1994 = 100.

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